STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

# Centene

NYSE: CNC · Health Care / Managed care · United States

*Case study: cheap for the wrong reason*

| NEUTRAL | $65.00 | $67.60 | −4% |
|---|---|---|---|
| Rating | Base-case value | Price, 29 Oct 2026, intraday | Downside, 12 months |

Noah Doose · MSc Financial Markets & Investments, SKEMA Business School · Student research, not investment advice

THE CALL

# Neutral: the screen read stale earnings; the recovery came from repricing

OUR CALL

## NEUTRAL

| | |
|---|---|
| Target | **$65.00** |
| Price | **$67.60** |
| Downside | **−4%** |
| Horizon | **12 months** |
| Conviction | **Case study** |

1

### Why the model bought it

The Dec 2025 score used FY2024 accounts, before the 2025 collapse.

**1 / 108**

value rank in Health Care

2

### What actually happened

2025 adjusted EPS fell to $2.08; repricing then lifted the 2026 floor four times.

**> $5.20**

2026 adjusted EPS floor

3

### Where it stands

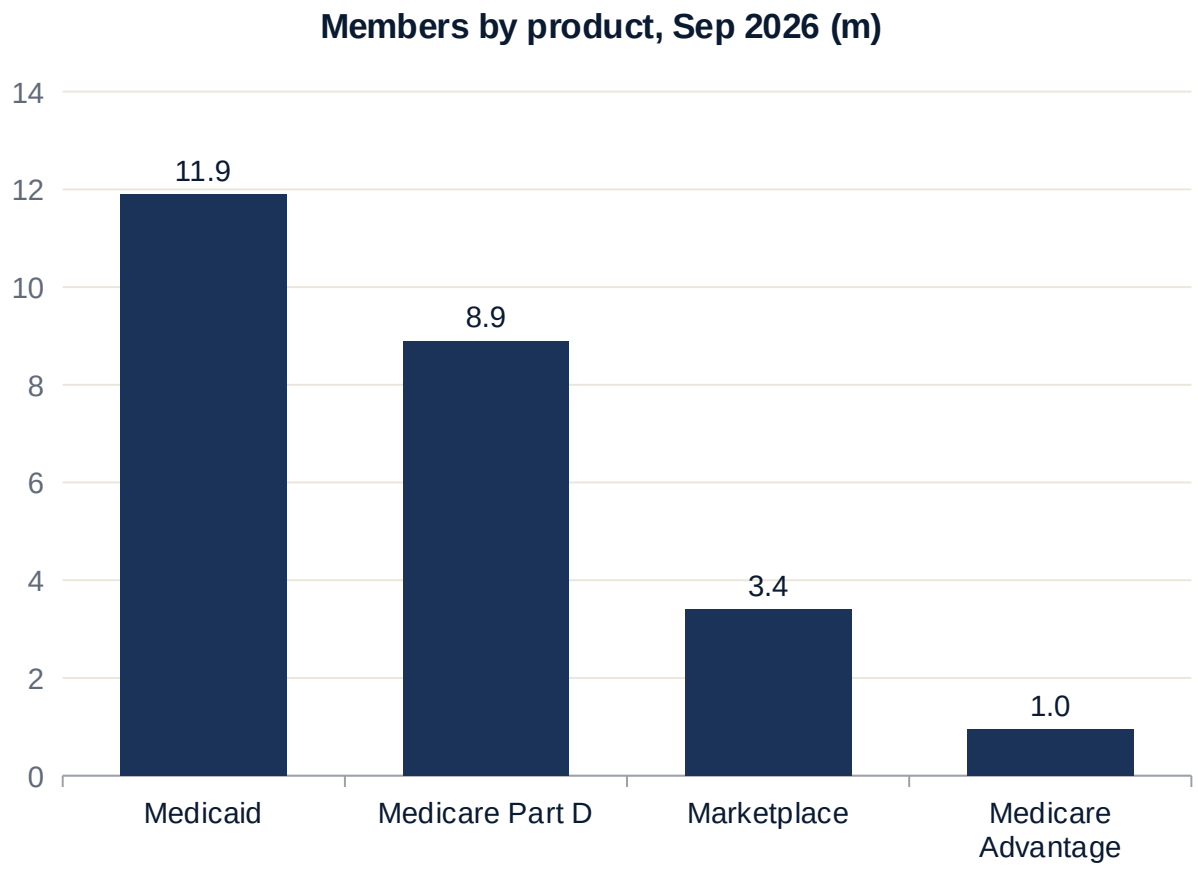
13x a 2026 figure that includes ~$0.50 of one-offs; membership −8%.

**13x**

P/E on the 2026 floor

*Source: Centene 8-Ks (1 Jul 2025, 6 Feb, 28 Apr, 28 Jul and 27 Oct 2026); price third-party (29 Oct 2026).*

# The largest US Medicaid insurer: thin margins on huge premiums




## Medicaid

11.9m members; the benefits ratio is still 93.6%.

## Marketplace (ACA)

3.4m members after enhanced subsidies expired, from 5.8m.

## Thin margins

10 bp of benefits ratio on ~$175bn of premiums is ~$175m pre-tax.

*Source: Centene Q3 2026 8-K and 10-Q.*

# US policy moved against Centene in 2025-2026

**−42%**
**Marketplace members, y/y**

Enhanced premium tax credits expired on 31 Dec 2025.

**2027**
**Medicaid reform**

Work requirements and frequent eligibility checks phase in.

**+2.48%**
**2027 Medicare Advantage rates**

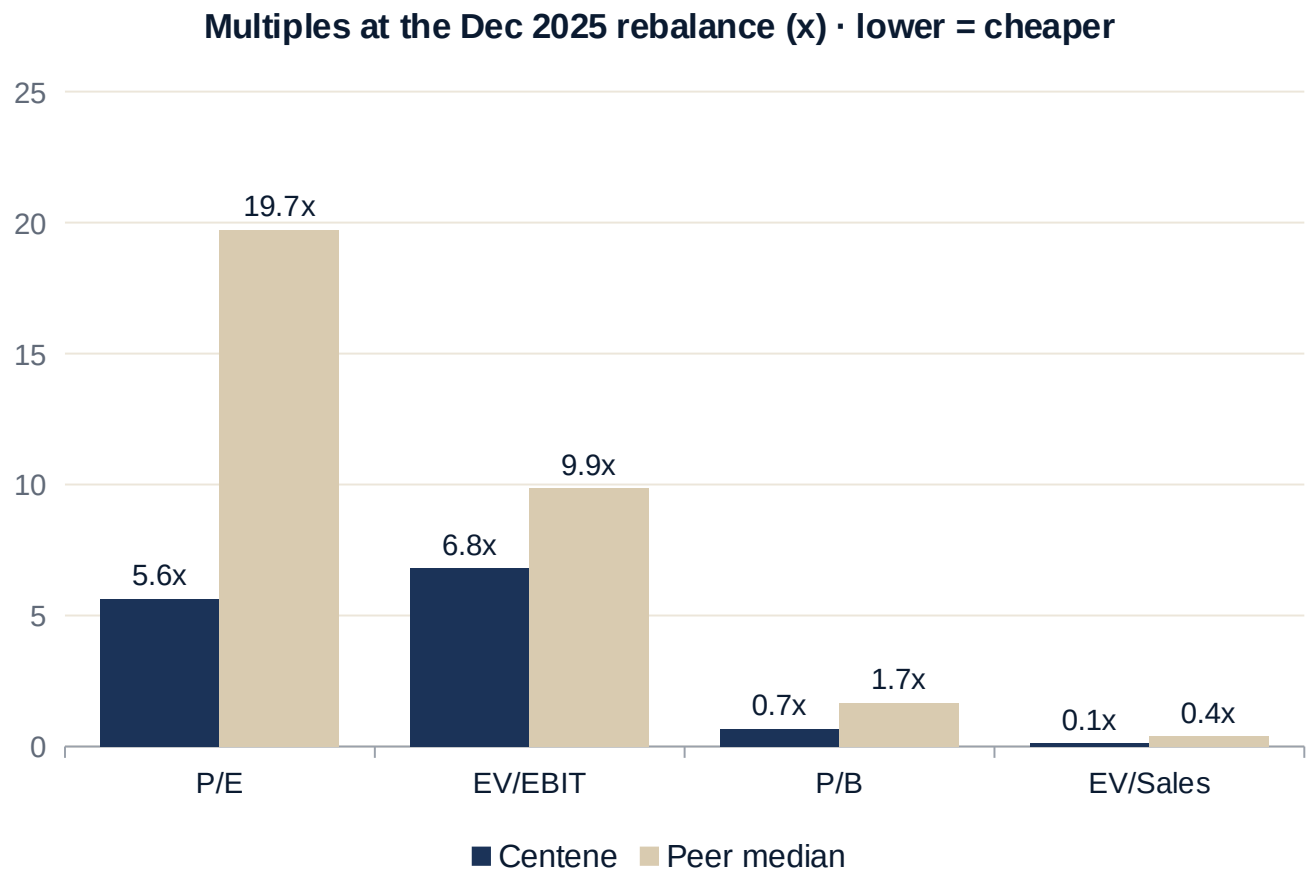
Final CMS notice (Apr 2026) against +0.09% proposed.

**93.6%**
**Medicaid benefits ratio, Q3**

Behavioural health, home health and high-cost drugs.

WHY THE SCREEN PICKED IT

# Ranked 1 of 108 in Health Care, on FY2024 earnings that no longer existed




**1 / 108**

**Value rank in its sector**

EV/EBIT, P/B and E/P at the top; FCF yield negative.

**10 / 10**

**Rebalances held (since Jun 2021)**

H1 2026 return +62.0% vs +10.8% for MSCI World.

**Core: Health Care**

**In the 70/30 value strategy**

Held through the Health Care ETF line; Cigna is the satellite stock.

*Source: Thoth Ledger stock screen, Bloomberg data (FY to 2024-12, used with a 6-month lag); peers = same GICS industry group.*

VARIANT PERCEPTION

# The lesson is about process, not about the stock

| THE MARKET SAYS | WE SAY |
| --- | --- |
| *“The stock doubled, so the model was right.”* | The rebound came from repricing and policy, not from the cheapness the model measured. |
| *“Managed care is a stable compounder.”* | Margins are thin; a small cost-trend error moves earnings a lot. |
| *“Guidance raises mean upside.”* | The floor format and ~$0.50 of one-offs flatter 2026; FY2027 guidance is the test. |

FINANCIALS

# From a $6.7bn impairment to a $5.20 floor in a year

| | FY2025 | 9M 2026 | Q3 2026 | 2026 guide |
|---|---|---|---|---|
| **Total revenues** | $194.8bn | $154.2bn | $50.6bn | $196.5-200.5bn |
| **Health benefits ratio** | 91.9% | 89.9% | 92.7% | 90.4-91.1% |
| **Adjusted EPS** | **$2.08** | **$6.45** | **$0.58** | **> $5.20** |
| **GAAP EPS** | −$13.53* | $5.15 | −$0.14 | > $3.46 |
| **Total debt** | $17.4bn | — | $15.5bn | — |

WHAT TO WATCH

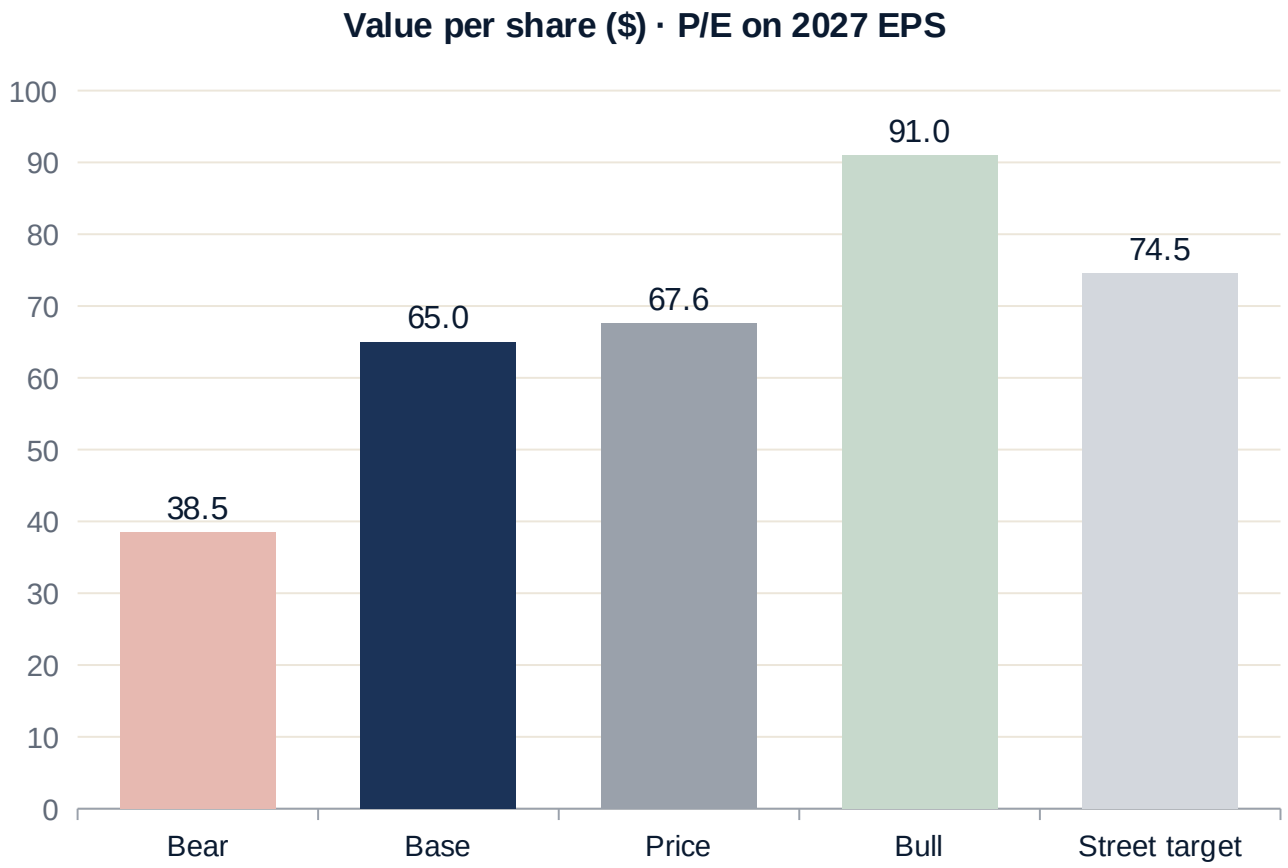
## Feb 2027

FY2027 guidance: anything well below ~$4.70 of adjusted EPS would mean 2026 was flattered.

*Source: Centene FY2025 and Q3 2026 8-Ks. *Includes a $6.7bn non-cash goodwill impairment (Q3 2025). No dividend.*

VALUATION

# $65 base case: 13x a normal $5 of 2027 EPS; fairly priced




HOW WE GET THERE

## P/E on 2027 adjusted EPS

1. **$5.00 × 13x = $65**
   2026 earnings power holds, excluding one-offs.

2. **Bear $38.5, bull $91**
   $3.50 × 11x if Medicaid stays under water; $6.50 × 14x if rates catch up.

3. **−4%: Neutral**
   Balanced upside and downside; a case study, not a position.

*Source: own valuation; Street target third-party (29 Oct 2026).*

CATALYSTS

# FY2027 guidance in February is the real test

**Nov 2026-Jan 2027**

HARD

### ACA open enrolment

2027 premiums +15% (median).

**Feb 2027**

HARD

### FY2027 guidance

First clean read after the 2026 one-offs.

**From Jan 2027**

SOFT

### Medicaid reform

Work requirements and eligibility checks.

**Jun-Jul 2027**

HARD

### Risk-adjustment data

For benefit year 2026.

**The number to watch:** FY2027 adjusted EPS guidance around $4.70 or above.

# Risks are policy and medical costs; both cut both ways

### Marketplace risk pool worsens

Repricing already filed; membership smaller.

### Medicaid rates vs acuity

State rate increases in 2026.

### Little unregulated cash ($175m)

Debt cut from $17.4bn to $15.5bn.

**WE CHANGE THE CALL IF**

- → FY2027 guidance well below ~$4.70 of adjusted EPS
- → Medicaid benefits ratio not improving from ~93.5%
- → Another mid-year risk-adjustment shock

# NEUTRAL

## Base case $65 · −4%

*A lesson for the screen: lagged accounts cannot see a fast break*

| $2.08 | > $5.20 | Feb 2027 |
|---|---|---|
| **2025 adjusted EPS** | **2026 floor** | **Key catalyst** |
| after the collapse | incl. ~$0.50 one-offs | FY2027 guidance |

## Questions?

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# Sources and disclosures


[1] Centene, "Centene Corporation Reports Third Quarter 2026 Results", 8-K Ex. 99.1, 27 Oct 2026

[2] Centene, "Centene Corporation Reports 2025 Results and Announces 2026 Guidance", 8-K Ex. 99.1, 6 Feb 2026

[3] Centene, Form 10-Q for the quarter ended 30 Sep 2026 (financial statements and notes only), filed Oct 2026

[4] Centene, "Centene Corporation Withdraws 2025 Guidance", 8-K Ex. 99.1, 1 Jul 2025

[5] Centene, "Centene Corporation Reports Third Quarter 2025 Results", 8-K Ex. 99.1, 29 Oct 2025 (content via search excerpt)

[6] Centene, "Centene Corporation Reports Second Quarter 2026 Results", 8-K Ex. 99.1, 28 Jul 2026

[7] Fierce Healthcare, "CMS gives Medicare Advantage rates a 2.48% bump for 2027 plan year in final rule", Apr 2026

[8] American Hospital Association, "CMS releases 2027 Medicare Advantage, Part D star ratings", 9 Oct 2026; Becker's Payer Issues, 2027 star ratings coverage, Oct 2026

[9] Fierce Healthcare, "Centene posts $71M loss, $50.6B in revenue for Q3", Oct 2026 (page blocked; content via search excerpt)

[10] Becker's Payer Issues, ACA enhanced subsidy coverage (expiry 31 Dec 2025; talks collapsed per WSJ, 5 Feb 2026); Fierce Healthcare, "Centene, Oscar Health outline 2027 ACA marketplace plans" (KFF 15% median 2027 increase), 2026

[11] stockanalysis.com, Centene (CNC) quote page, data as of 29 Oct 2026 (third-party) (third-party market data; to be replaced by Bloomberg, Dec 2026)

[12] Centene, "Centene Corporation Reports First Quarter 2026 Results", 8-K Ex. 99.1, 28 Apr 2026


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